

BECM 3107

SURETY BONDS & LETTER OF CREDIT (LOC)

Term Final Exam Study Guide

Easy English + বাংলা ব্যাখ্যা + Memory Techniques

Surety Parties • Bond Types • Premium • LOC • Comparisons • MCQs

SOURCE BASIS

Prepared strictly from the uploaded lecture “7.0 - Surety Bonds & Letter of Credit (LOC).” The guide preserves the lecture's terminology, percentages, examples, bond functions, LOC document rules, and comparison framework.

Department of Building Engineering and Construction Management
Khulna University of Engineering and Technology (KUET)

1. Master Map of the Lecture

Understand the complete security system before memorizing details.

Block	Main topic	Memory cue
Foundation	Definition, three parties, issuer, penal sum	P-O-S
Risk check	Premium, prequalification, contractor evaluation	3 Cs
Bond types	Bid, performance, payment, lien, warranty	B-P-P-L-W
LOC basics	Bank guarantee, parties, documents, payment	I-A-B + D-T-C-L
LOC types	Commercial and standby LOC	TRADE vs BACKUP
Comparison	Surety/insurance and surety/LOC	3 vs 2; Secondary vs Primary

Best answer formula: D-P-R-E-C

D-P-R-E-C

Definition → Parties/Purpose → Rules → Example → Conclusion. বাংলা: সংজ্ঞা → পক্ষ/উদ্দেশ্য → নিয়ম → উদাহরণ → উপসংহার।

Numbers to remember

Number	Lecture point
3	Parties in both a surety bond and an LOC
3 Cs	Capital, Capacity, Character
1%-15%	Lecture range for bond premium
\$10,000 × 1%	\$100 premium example
\$10,000 × 10%	\$1,000 premium example
100%	Typical surety bond coverage stated in the comparison section

2. What Is a Surety Bond?

A written three-party guarantee of contractual performance

DEFINITION

A surety bond is a written three-party agreement in which the surety guarantees to the obligee that the principal will fulfil its contractual obligations.

Party	Lecture meaning	বাংলা cue
Principal	Contractor or party performing the work	মূল দায়ী পক্ষ / contractor
Obligee	Project owner or party requiring the bond	যার সুরক্ষার জন্য bond
Surety	Bonding company guaranteeing performance	জামিনদাতা bonding company

MEMORY: P-O-S

Principal performs → Obligee owns/requires → Surety secures.

Simple project picture

FLOW

Contractor promises the work → Owner requires protection → Surety guarantees the contractor's obligation.

3. Who Issues Surety Bonds?

Surety companies assess the contractor before guaranteeing it

- Surety bonds are normally issued by surety companies, often affiliated with insurance companies.
- Contractors generally obtain bonds through licensed surety bond producers, also called agents or brokers.

What the surety evaluates

Factor	Easy meaning
Financial stability	Does the contractor have enough financial strength?
Technical expertise	Does the contractor know how to perform the work?
Previous experience	Has the contractor successfully completed similar work?
Completion ability	Can the contractor finish this particular project?

MEMORY: F-T-E-C

Financial → Technical → Experience → Completion ability.

BANGLA

Surety bond producer = bond সংগ্রহে সহায়তাকারী licensed agent/broker. Affiliated = সংশ্লিষ্ট/সংযুক্ত।

4. Protection When the Contractor Fails

The surety protects the obligee within the bond terms

Basic guarantee

The surety guarantees to the project owner that the contractor will fulfil the contractual obligations.

If the contractor defaults

FINANCIAL RESPONSE	PERFORMANCE RESPONSE
- Compensate the project owner, subject to the bond. - বাংলা: আর্থিক ক্ষতিপূরণ।	- Arrange for completion of the work. - বাংলা: কাজ শেষ করার ব্যবস্থা।

EXAM POINT

A surety bond does not merely describe risk. It provides a stated guarantee and a response if the principal fails.

Key terms

Term	বাংলা meaning
Default	দায়িত্ব পালনে ব্যর্থতা
Compensate	ক্ষতিপূরণ দেওয়া
Arrange completion	কাজ সমাপ্তির ব্যবস্থা করা
Contractual obligation	চুক্তিগত দায়িত্ব

5. Penal Sum of a Surety Bond

The surety's maximum financial liability under the bond

DEFINITION

The penal sum is the amount for which the bond is issued. It generally represents the maximum financial liability of the surety.

- If the principal defaults, the surety may compensate the obligee.
- The surety's liability is generally limited to the penal sum.
- The lecture notes an exception where the surety itself breaches the bond terms.
- The penal sum defines the extent of financial protection and helps the surety assess risk.

MEMORY: LIMIT + PROTECTION + RISK

Penal sum sets the liability limit, shows the owner's protection, and supports premium calculation.

Bangla

Penal sum = bond-এর সর্বোচ্চ দায়সীমা বা সর্বোচ্চ আর্থিক দায়িত্ব। এটি owner কতটুকু আর্থিক সুরক্ষা পাবে তা বোঝায়।

6. Bond Premium and Cost Calculation

The contractor pays the premium to obtain the bond

What determines the premium?

Factor	Effect described in lecture
Bond amount / penal sum	Larger amount affects the fee and risk
Credit rating	Good credit generally means lower risk
Financial strength	Stronger finances generally mean lower premium
Business history / experience	A successful record improves assessment
Project risk	Higher risk may produce a higher rate or restrictions

LECTURE RANGE

The lecture states that the bond premium typically ranges from 1% to 15% of the total bond value.

Formula and examples

FORMULA

Premium = Bond value × Premium rate

Example	Calculation	Premium
Lower-rate example	$\$10,000 \times 1\%$	\$100
Higher-risk example	$\$10,000 \times 10\%$	\$1,000

MEMORY

Strong finance + good credit = lower risk = lower premium. Weak finance + poor credit = higher premium and possible bond-limit restrictions.

7. Prequalification by the Surety

A rigorous screening before the bond is issued

Purpose

The surety checks whether the contractor is capable of successfully completing the contract and has the necessary ability and resources.

Evaluation area	What it asks
Financial stability	Can the contractor fund operations?
Credit history	Has the contractor handled financial obligations reliably?
Technical expertise	Can the contractor perform the required technical work?
Past project performance	What does the completion record show?
Management and organization	Can the business plan, coordinate, and control the project?

Why it matters

- Reduces the risk of project failure or contractor default.
- Protects the obligee from potential financial loss.
- Acts as a measure of contractor reliability and credibility.

BANGLA

Prequalification = bond দেওয়ার আগে যোগ্যতা যাচাই। Credibility = বিশ্বাসযোগ্যতা।

8. The 3 Cs of Prequalification

The lecture's easiest high-value mnemonic

C	Focus	Easy question	বাংলা cue
Capital	Financial strength	Does the contractor have money/resources?	মূলধন ও আর্থিক শক্তি
Capacity	Ability to perform	Can the contractor actually do the work?	কাজ করার সামর্থ্য
Character	Reputation with project parties	Is the contractor trustworthy?	সুনাম ও বিশ্বাসযোগ্যতা

MEMORY: MONEY - MUSCLE - MORAL

Capital = money; Capacity = ability; Character = reputation.

Character evidence named in the lecture

- Reputation among subcontractors.
- Reputation among suppliers.
- Reputation among other project owners.

EXAM SENTENCE

A surety does not sell a bond to every applicant automatically; the contractor must qualify through prequalification.

9. Protection and Main Bond Types

One security system serving multiple project participants

Parties shown around surety bonds in the lecture diagram

The page-12 diagram places surety bonds at the centre and shows links with owners, lenders, attorneys, engineers, subcontractors, contractors, CPAs, architects, risk managers, and developers.

Main types in the lecture

Bond	Primary protection
Bid bond	Serious bid and contract-entry promise
Performance bond	Completion or compensation after contractor default
Payment bond	Payment of subcontractors and suppliers
Lien bond	Removal/security of liens against the owner's property
Warranty bond	Correction of defects during the warranty period

MNEMONIC: B-P-P-L-W

Bid → Performance → Payment → Lien → Warranty.

10. Bid Bond

Protection during tendering and contract award

DEFINITION

A bid bond assures the owner that the bidder will honour the bid price, enter into the contract if selected, and provide the required performance and payment bonds.

Three promises

Promise	Meaning
Honour the bid	Do not withdraw or change the bid improperly
Sign the contract	Enter the contract at the bid price if selected
Provide later bonds	Submit the required performance and payment bonds

MEMORY: PRICE - PAPER - PROTECTION

Price = honour bid; Paper = sign contract; Protection = provide performance/payment bonds.

BANGLA

Bid bond = দরপত্রের অঙ্গীকার রক্ষার bond। Winning bidder নির্বাচিত হলে bid price-এ contract করতে হবে।

11. How a Bid Bond Works

Tender submission → selection → default → owner claim

Step	Lecture process
1. Submit	Contractor submits the bid bond with the bid proposal
2. Selection	Winning bidder must sign at the bid price and provide required bonds
3. Default	Refusal to sign, bid withdrawal, or failure to provide bonds
4. Claim	Owner claims against the bid bond
5. Recovery	Owner recovers extra cost of using the next-lowest qualified bidder
6. Surety payment	If contractor cannot reimburse, surety pays up to the penal sum

MEMORY: S-S-D-C-R-P

Submit → Select → Default → Claim → Recover → Pay.

Main protection

The bid bond protects the owner from financial loss and encourages serious, realistic bids.

12. Performance Bond

Guaranteeing completion of the project

DEFINITION

A performance bond guarantees project completion. If the contractor defaults, the surety may step in to complete the project or compensate the employer.

Where commonly used

The lecture states that performance bonds are more common on large-scale projects.

Surety options after default

Option	What happens
Take over	Surety directly completes the work
Hire another contractor	Surety arranges a replacement to finish
Select contractor for owner	New contractor contracts directly with owner
Cash settlement	Surety negotiates financial settlement with owner

MNEMONIC: T-H-S-C

Take over → Hire → Select → Cash settlement.

13. Performance Bond Protection

The surety may support completion before or after default

Avoiding default

When financial problems threaten the contractor, the surety may prefer to help it avoid default. With the owner's consent, the surety may provide funds needed to complete the project.

Protection options listed separately in the lecture

Option	Purpose
Re-bid the job	Seek competitive completion arrangement
Arrange replacement contractor	Bring another contractor to finish
Retain original contractor	Continue with the same contractor under support
Refund the owner	Pay as required by the bond

MEMORY: HELP BEFORE TAKEOVER

The surety may finance/support the original contractor if that is a better path to completion.

BANGLA

Avoid default = default হওয়ার আগেই সহায়তা করে কাজ শেষ করানো। Owner consent = মালিকের সম্মতি।

14. Payment Bond

Guaranteeing payment of labour and material parties

DEFINITION

A payment bond, also called a labour and material bond, guarantees that the contractor will pay subcontractors and suppliers.

Protection provided

Beneficiary/protection	Lecture point
Eligible subcontractors and suppliers	Surety pays eligible claims
Owner	Protected from mechanics' liens
Subcontractors	Protected from contractor non-payment

MEMORY: PAY PEOPLE, PROTECT PROPERTY

Pay subs/suppliers and protect the owner's property from liens.

Bangla

Payment bond = subcontractor ও supplier-এর পাওনা পরিশোধের নিশ্চয়তা। Mechanics' lien = unpaid work/material-এর কারণে property-এর ওপর আইনগত দাবি।

15. Lien Bond and Warranty Bond

Two different stages of project protection

CONSTRUCTION LIEN BOND

- Required in many large projects.
- Posted with the court.
- Removes liens from property title.
- Serves as security until dispute resolution.

WARRANTY / MAINTENANCE BOND

- Guarantees correction of issues or defects from the original work.
- Assures quality and integrity.
- Covers repairs/corrections during the stated warranty period.

MEMORY: LIEN = TITLE; WARRANTY = DEFECT

Lien bond protects the property title during a dispute. Warranty bond protects quality after completion.

Bangla meanings

Term	বাংলা অর্থ
Lien	সম্পত্তির ওপর আইনগত দাবি
Property title	মালিকানার আইনগত রেকর্ড
Warranty period	নির্দিষ্ট ক্রটি-সংশোধনকাল
Rectify defects	ক্রটি ঠিক করা

16. Surety Bonds vs. Traditional Insurance

The lecture compares structure, duty, pricing, and loss expectation

Feature	Surety bond	Traditional insurance
Parties	3-party	2-party
Duty	To obligee	To insured
Premium basis	Fee for prequalification services	Actuarially determined
Coverage focus	Project specific	Usually term specific
Limit term	Penal sum	Policy limits
Loss expectation	Surety expects no loss	Insurance expects loss
Access	Applicant must qualify	Insurance can be purchased

MEMORY: QUALIFY vs BUY

According to the lecture, a contractor must qualify for surety; insurance is purchased.

Common point in the lecture table

The table describes both as involving risk transfer, while distinguishing the parties, duties, pricing method, coverage period, limits, and expected loss.

17. What Is a Letter of Credit (LOC)?

A bank-issued financial guarantee that ensures payment

DEFINITION

An LOC is a bank-issued financial guarantee. Payment up to a specified amount is released when the agreed documents and conditions are fulfilled.

- Reduces payment risk for the beneficiary.
- Independent of the underlying contract, so disputes between applicant and beneficiary do not automatically delay payment.
- Used in construction projects, international trade, and large commercial contracts.

MEMORY: BANK + DOCUMENTS = PAYMENT

The bank focuses on compliant documents and the LOC terms.

BANGLA

Letter of Credit = ব্যাংকের শর্তসাপেক্ষ অর্থপ্রদানের নিশ্চয়তা। Underlying contract = মূল contract।

18. Elements of an LOC

Three parties and strict document requirements

Party	Function	বাংলা cue
Issuer	Bank that issues the LOC	ইস্যুকারী ব্যাংক
Applicant	Customer requesting the LOC	আবেদনকারী
Beneficiary	Person/company entitled to payment	অর্থপ্রাপ্য পক্ষ

Payment requirements

Rule	Lecture requirement
Documents	Submit required documents such as invoice or shipping documents
Time	Present within the specified time limit
Compliance	Documents must exactly comply with LOC terms and conditions
Location	Submit to the designated bank or specified location

MEMORY: I-A-B + D-T-C-L

Issuer-Applciant-Beneficiary; Documents-Time-Compliance-Location.

19. Mechanism of an LOC

Contract and goods move separately from documents and bank payment

Simplified lecture flow

Stage	Action
1. Contract	Buyer/applicant and seller/beneficiary make the commercial contract
2. Open credit	Applicant asks the opening/issuing bank to issue the LOC
3. Advise	LOC reaches the beneficiary through the advising bank
4. Goods and documents	Seller provides goods and submits required documents
5. Document checking	Bank checks document compliance
6. Payment/reimbursement	Payment moves through the relevant banks according to the LOC

VISUAL MEMORY

Goods follow the trade route; documents follow the bank route; compliant documents trigger payment.

BANK NAMES IN THE DIAGRAM

Opening bank, advising bank, negotiating/confirming bank, and reimbursing bank.

20. Commercial LOC and Standby LOC

Ordinary trade payment versus backup guarantee

Point	Commercial LOC	Standby LOC (SBLC)
Main role	Facilitates sale and purchase of goods	Backup payment guarantee
Common use	International trade	Contract performance or payment guarantee
Trigger	Compliant trade documents	Applicant fails and beneficiary submits required documents
Benefit	Reduces seller's non-payment risk	Strengthens applicant's creditworthiness
Normal outcome	Used as payment mechanism	Never used if applicant performs successfully

MEMORY: COMMERCIAL = TRADE; STANDBY = SAFETY NET

Commercial LOC pays through normal trade documents. SBLC remains unused when the applicant performs.

21. Surety Bond vs. LOC: Big Idea

Both protect financially, but their legal payment triggers differ

SURETY / GUARANTEE	LETTER OF CREDIT
• Secondary or backup obligation. • Actual default must occur first. • Facts and circumstances are investigated. • Typically stated as 100% of contract price in the lecture.	• Primary payment obligation. • Compliant documents trigger payment. • Proof of default is irrelevant to the bank. • Often less than the full contract price.
CORE MEMORY	
Surety asks: "Did default really occur?" LOC asks: "Do the documents comply?"	

Why this distinction matters

It affects payment timing, investigation, coverage scope, and which party receives the most direct protection.

22. Surety as a Secondary Obligation

No payment obligation until default is factually established

Step/feature	Lecture explanation
Default first	Primary party must actually default on the underlying agreement
Agreement examined	Surety reviews the underlying contractual obligation
Facts checked	Guarantor investigates facts and circumstances
Payment timing	Payment is withheld until default is established
Coverage	Surety bonds are typically issued for 100% of contract price in this lecture

MEMORY: DEFAULT - INVESTIGATE - RESPOND

A surety response follows a proven default; it is not merely document-triggered.

BANGLA

Secondary obligation = মূল দায়ী পক্ষ ব্যর্থ হওয়ার পরে surety-এর দায় কার্যকর হয়।

23. LOC as a Primary Obligation

The bank pays when specified documents comply



Step	LOC process
1. Terms set	LOC states exact document requirements
2. Documents presented	Beneficiary submits invoices/shipping documents or other required papers
3. Bank verifies	Bank checks compliance, not whether default occurred
4. Bank pays	Payment is guaranteed upon document compliance

LECTURE RULE

Proof of default is irrelevant to the bank's payment obligation under the LOC comparison.

Coverage reminder

The lecture states that LOCs are often not drafted for the full contract price, so they may provide a narrower scope than a 100% surety bond.

MEMORY: SET - PRESENT - VERIFY - PAY

SPVP: terms, documents, checking, payment.

24. Detailed Comparison Table

Use this table for a high-mark distinction question

Feature	Surety Bond / Guarantee	Letter of Credit
Obligation type	Secondary	Primary
Triggered by	Actual default on underlying contract	Presentation of compliant documents
Proof of default	Required and verified	Irrelevant to bank's obligation
Coverage amount	Typically 100% of contract price	Often less than full contract price
Who benefits	Owner protected from contractor default	Contractor/beneficiary receives guaranteed payment upon documents
Payment timing	After default is established	Immediate on documents, before litigation
Risk investigation	Facts and circumstances reviewed	Documents only

FOUR-LINE MEMORY

Primary vs Secondary; Documents vs Default; Immediate vs Investigated; Often partial vs typically 100%.

25. Worked Exam Scenarios

Apply the lecture rules step by step

Scenario A: Winning bidder refuses to sign

Use the bid bond. The owner may claim the additional cost of awarding to the next-lowest qualified bidder. Surety liability is limited by the penal sum.

Scenario B: Contractor cannot complete

Use performance-bond analysis. The surety may take over, hire/select a replacement, support the original contractor, or negotiate/refund as the bond requires.

Scenario C: Subcontractors remain unpaid

Use payment-bond protection. Eligible subcontractors/suppliers may be paid, and the owner receives protection from mechanics' liens.

Scenario D: LOC documents exactly comply

The bank pays according to the LOC. In the lecture comparison, proof of contractual default is irrelevant to the payment obligation.

Scenario E: Premium calculation

Bond value \$10,000 at 1%: \$100. Bond value \$10,000 at 10%: \$1,000.

26. Essential Vocabulary

Necessary English words with Bangla meanings

English	বাংলা অর্থ	Quick cue
Surety bond	জামিন/গ্যারান্টিমূলক bond	3-party
Principal	মূল দায়ী contractor	Performs
Obligee	সুরক্ষাপ্রাপ্ত owner	Requires bond
Surety	জামিনদাতা company	Guarantees
Penal sum	সর্বোচ্চ দায়সীমা	Maximum liability
Premium	bond পাওয়ার fee	Cost
Prequalification	আগাম যোগ্যতা যাচাই	Screening
Capital	আর্থিক শক্তি	Money
Capacity	কাজের সামর্থ্য	Ability
Character	সুনাম/বিশ্বাসযোগ্যতা	Reputation
Bid bond	দরপত্রের অঙ্গীকার bond	Tender
Performance bond	কাজ সমাপ্তির নিশ্চয়তা	Completion
Payment bond	subs/suppliers payment guarantee	Payment
Lien	সম্পত্তির ওপর আইনগত দাবি	Property claim
Warranty bond	ত্রুটি সংশোধনের নিশ্চয়তা	Defects
Letter of Credit	ব্যাংকের document-based payment guarantee	Bank payment
Issuer	LOC ইস্যুকারী ব্যাংক	Bank
Applicant	LOC আবেদনকারী	Requests
Beneficiary	অর্থপ্রাপ্য পক্ষ	Receives
Compliant documents	শর্তমাফিক সঠিক কাগজপত্র	Exact docs

WORD-PAIR MEMORY

Surety/Default; LOC/Documents; Penal sum/Limit; Premium/Fee; Bid/Tender; Performance/Completion; Payment/Subs.

27. Model Answer Frameworks

Use these structures for written questions

A. Explain a surety bond

- Define the written three-party agreement.
- Explain Principal, Obligatee, and Surety using P-O-S.
- State issuer and contractor evaluation/prequalification.
- Explain default response, penal sum, and premium.
- Conclude with owner protection.

B. Discuss types of construction bonds

- Bid: bid price, contract entry, later bonds.
- Performance: project completion and surety options.
- Payment: subcontractors/suppliers and lien protection.
- Lien: remove lien from title and secure dispute.
- Warranty: defects and repairs during warranty period.

C. Distinguish surety bond and LOC

- Secondary/default/investigation/typically 100% versus primary/documents/immediate/often less than full price.

28. Probable Written Questions

Practice definitions, comparisons, procedures, and applications

- Define a surety bond and explain its three parties.
- Who issues surety bonds and what does the surety evaluate?
- What is the penal sum and why is it important?
- Explain bond premium and calculate the premium for the lecture examples.
- Discuss the prequalification process and the 3 Cs.
- Explain how a bid bond works.
- Discuss performance-bond protection and the surety's options.
- Explain payment bonds and protection against mechanics' liens.
- Write short notes on construction lien bonds and warranty bonds.
- Distinguish surety bonds from traditional insurance.
- Define an LOC and explain its parties and document requirements.
- Explain the mechanism of an LOC.
- Distinguish commercial LOC and standby LOC.
- Distinguish a surety bond/guarantee from an LOC.

ANSWER STRATEGY

For “distinguish” questions, use a table. For “explain” questions, use definition + parties + process + protection + short conclusion.

29. MCQ Practice

Try without looking at the answer key

1. A surety bond normally has:
 - A. One party
 - B. Two parties
 - C. Three parties
 - D. Four parties
2. The contractor is the:
 - A. Obligee
 - B. Principal
 - C. Issuer
 - D. Beneficiary
3. The maximum surety liability is generally the:
 - A. Policy year
 - B. Penal sum
 - C. Bid spread
 - D. Invoice
4. The 3 Cs include:
 - A. Capital, Capacity, Character
 - B. Cost, Claim, Cure
 - C. Credit, Cash, Contract
 - D. Code, Court, Claim
5. A bid bond assures that the selected bidder will:
 - A. Avoid all disputes
 - B. Sign at the bid price
 - C. Pay every tax
 - D. Insure every worker
6. A performance bond primarily guarantees:
 - A. Design ownership
 - B. Project completion
 - C. Foreign exchange
 - D. Tender advertising

30. MCQ Practice - Set B

Complete the remaining questions, then check the key.

7. A payment bond protects:
 - A. Only the architect
 - B. Subcontractors and suppliers
 - C. Only the bank
 - D. Only the bidder
8. A lien bond is posted with:
 - A. The court
 - B. The supplier
 - C. The designer
 - D. The insurer
9. A warranty bond relates mainly to:
 - A. Bid withdrawal
 - B. Defect correction
 - C. Tax payment
 - D. Bank documents
10. An LOC is issued by:
 - A. A court
 - B. A bank
 - C. A subcontractor
 - D. A surety producer
11. Under the lecture comparison, an LOC is:
 - A. Secondary
 - B. Primary
 - C. Unwritten
 - D. Two-stage litigation
12. LOC payment is triggered by:
 - A. Compliant documents
 - B. Proven default only
 - C. A mechanics' lien
 - D. Contractor prequalification

ANSWER KEY

1-C, 2-B, 3-B, 4-A, 5-B, 6-B, 7-B, 8-A, 9-B, 10-B, 11-B, 12-A

31. Final Revision Sheet

One-page recall before the exam

Surety flow

FLOW

Contractor applies → Surety prequalifies → Bond issued with penal sum → Contractor performs → If default occurs, surety investigates and responds.

LOC flow

FLOW

LOC terms set → Beneficiary presents documents → Bank verifies exact compliance → Bank pays.

Core mnemonics

Topic	Mnemonic
Surety parties	P-O-S
Issuer evaluation	F-T-E-C
Prequalification	3 Cs
Bond types	B-P-P-L-W
Bid bond workflow	S-S-D-C-R-P
Performance options	T-H-S-C
LOC parties/documents	I-A-B + D-T-C-L
LOC mechanism	S-P-V-P
Big comparison	Default vs Documents

Four sentences to memorize

- A surety bond is a written three-party agreement: principal, obligee, and surety.
- Penal sum is the maximum financial liability of the surety under the bond.
- A surety obligation is secondary and follows factually established default.
- An LOC is a primary payment tool triggered by compliant documents.

FINAL EXAM RULE

Use exact lecture terminology, include Bangla cues only to aid memory, and use comparison tables whenever two instruments are asked together.